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**CORPORATE GOVERNANCE IN PENSION FUNDS AND ITS IMPORTANCE FOR
THE ENHANCEMENT OF CORPORATE GOVERNANCE IN JOINT-STOCK
COMPANIES AND IN THE NATION'S ECONOMIC AND SOCIAL DEVELOPMENT
MODEL**

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DEDICATION

I dedicate this work to my colleagues at IBMEC who supported me throughout the course, and to my family members.

*“The nineteenth century was the era of entrepreneurs [...].
The twentieth century was the era of management [...].
The twenty-first century will be the era of corporate governance, of defining how strategy will be set and power will be exercised in corporations worldwide.”*

Rolf Carlsson

Ownership and Value Creation: Strategic Corporate Governance in the New Economy

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LIST OF ABBREVIATIONS AND ACRONYMS

- **ABRAPP:** Associação Brasileira das Entidades Fechadas de Previdência Complementar (Brazilian Association of Closed Private Pension Entities)
- **AL&M:** Asset Liability Management
- **Art.:** Article
- **BNDES:** Banco Nacional de Desenvolvimento Econômico e Social (National Bank for Economic and Social Development)
- **BM&FBovespa:** Bolsa de Valores, Mercadorias e Futuros de São Paulo (São Paulo Stock, Commodities and Futures Exchange)
- **CGPC:** Conselho de Gestão da Previdência Complementar (Complementary Pension Management Council)
- **CMN:** Conselho Monetário Nacional (National Monetary Council)
- **CNPC:** Conselho Nacional da Previdência Complementar (National Complementary Pension Council)
- **EFPC:** Entidade Fechada de Previdência Complementar (Closed Complementary Pension Entity)
- **FGV:** Fundação Getulio Vargas
- **FUNCEF:** Fundação dos Economistas Federais
- **IBGC:** Instituto Brasileiro de Governança Corporativa (Brazilian Institute of Corporate Governance)

- **INSS:** Instituto Nacional do Seguro Social (National Social Security Institute)
- **OCDE / OECD:** Organisation for Economic Co-operation and Development
- **OIT:** Organização Internacional do Trabalho (International Labour Organization)
- **§:** Paragraph
- **PIB / GDP:** Produto Interno Bruto / Gross Domestic Product
- **PREVI:** Caixa de Previdência dos Funcionários do Banco do Brasil
- **PREVIC:** Superintendência Nacional de Previdência Complementar (National Superintendency for Complementary Pension)
- **SUSEP:** Superintendência de Seguros Privados (Superintendency of Private Insurance)

ABSTRACT

This paper analyzes and interrelates the themes of **corporate governance**, **pension funds**, and **economic and social development**, with particular emphasis on corporate governance within pension funds. Various books, academic papers, studies, and articles addressing these themes were reviewed in order to build a solid technical and theoretical foundation. In addition, data research was conducted using several government agencies, as well as national and international organizations, seeking information to validate—or refute—such foundations.

Given that Brazil's governance culture is relatively recent and largely imported from abroad, along with recent advances in pension regulation and the development of pension funds, many of the referenced materials are grounded in governance structures observed in foreign organizations.

Keywords: Corporate Governance; Pension Funds; Economic and Social Development.

1 INTRODUCTION

This work addresses two themes that have been gaining increasing relevance — private pensions and corporate governance — due to the recent government effort to strengthen pension funds (recently, Law 12,618/2012 was enacted, which institutes the complementary pension regime for federal public servants holding effective positions), as well as the awakening of organizations to Corporate Governance. The objective is to analyze the importance of developing corporate governance within pension funds for the economy in general, through an observation of its legal structure and a reflection on how their proper functioning will strengthen them by fostering greater participation and trust of the active population in the closed pension system.

This work is divided into three parts:

- The first part conceptualizes and outlines an overview of complementary pensions in Brazil;

- The second part explains, from a macroeconomic standpoint, the importance of pension funds for economic development;
- The third part addresses corporate governance with definitions and concepts, focusing on the internal structure of Pension Funds, the main internal conflicts, and how these well-governed funds can promote good governance throughout the productive sector of the economy.

The aging of the population, with the consequent increase in pension expenditures and the reduction in the number of contributors, results in a growth of State resources used to cover the social security deficit. This increases government spending and reduces the savings available for investment, which contradicts the nation's urgent need to increase its investments. It also increases the responsibility of the government, companies, and the general population to allow the necessary conditions for the strengthening of private pension initiatives to flourish.

Corporate governance gains importance as economies become more complex and sophisticated, and, as a consequence, organizations face increasing challenges in their pursuit of growth and the achievement of their objectives. Governance with a greater orientation toward stakeholders also gains importance due to the growing pressure from society for organizational growth that benefits everyone and does not harm future generations to the detriment of the current one.

Its practices involve legal matters, regulations issued by regulatory bodies, internal entity regulations, administrative structure, risk management, and internal controls. They also encompass control practices that organize and conduct the relationship between governance agents, financial issues, strategic decisions, and meanings related to management models, among others. These issues will be explored throughout this work.

2 CLOSED COMPLEMENTARY PENSION IN BRAZIL - OVERVIEWS AND OPPORTUNITIES OF PENSION FUNDS

Brazil possesses the largest complementary pension system in Latin America and one of the largest in the world in absolute terms. The 369 entities, comprising 339 sponsors and 30 institutors, have 2.74 million participants and beneficiaries and assets of approximately 513 billion reais.

However, we find that there is substantial room for growth in complementary pension plans. Out of an economically active population of approximately 92.3 million, pension plan participants total just over 2 million individuals, or slightly more than 2.1% of the total. Furthermore, for a market value of R\$ 2.29 trillion across the 373 companies with shares traded on the São Paulo Stock, Commodities and Futures Exchange (BM&FBovespa), pension funds hold a total investment in variable income that corresponds to approximately R\$ 175.46 billion, or 31% of their assets. This indicates a vast potential for expanding the shareholding participation of pension funds. One of the great pension challenges in Brazil is raising awareness across all segments of the

population regarding the need to prepare for retirement and disseminating information about the options available in the market.

2.1 The Legal Framework of Pension Funds

Brazilian legislation has a broad scope regarding Complementary Pensions, namely: Articles 201 and 202 of the Federal Constitution, Constitutional Amendment No. 20, Complementary Laws Nos. 108 and 109, and a series of infra-legal regulatory acts, such as ordinary laws, decrees, resolutions, instructions, and ordinances, among others. These seek to guide the operation of pension funds and provide security to the entire Complementary Pension system.

The regulation of the complementary pension system operated by closed complementary pension entities is carried out by the National Complementary Pension Council (CNPC), while oversight is executed by the National Superintendency for Complementary Pension (Previc), an entity linked to the Ministry of Social Security. The application activities of the resources of pension fund participants, as institutional investors, are disciplined and overseen by the National Monetary Council (CMN). The main guidelines for investments executed by EFPCs are found in CMN Resolution 3,792/09.

Complementary Law 109, perhaps the most important regulatory milestone for complementary pensions, brought more flexibility to this sector, keeping pace with labor market dynamics by introducing the following mechanisms:

- **Portability:** A mechanism that allows a participant of a complementary pension entity, upon termination of their link with the sponsor or institutor, to transfer their accumulated savings or the mathematical reserve, whichever is greater, to the benefit plan of another entity, which can be closed or open.
- **Withdrawal (Resgate):** A mechanism that allows the participant to withdraw the totality of their contributions made to the plan, capitalized and net of administrative cost portions, in the regulated manner, resulting from their separation from the sponsor.
- **Self-Sponsorship (Autopatrocínio):** A mechanism that allows the participant to maintain the value of their contribution and that of the sponsor, in the case of partial or total loss of received remuneration, to ensure the receipt of benefits at levels corresponding to that remuneration.
- **Deferred Proportional Benefit:** A mechanism that allows a participant who has met the eligibility requirements provided in the regulations, including the vesting period, and due to the cessation of the employment link with the sponsor before acquiring the right to the full benefit, to opt to receive a benefit proportional to the respective period of linkage to the plan on the date scheduled for the start of receipt.

2.2 Characteristics of the Private Complementary Pension System

According to the provisions of Constitutional Amendment (EC) 20/98, the Brazilian pension system is broken down into three subsystems, termed the pillars of the pension regime: the General Social Security Regime (RGPS), the Private Complementary Pension System (RPPC), and the Proper Social Security Regime (RPPS). These are governed by their own rules and legislation, and operate with administrative independence.

The Private Complementary Pension System is subdivided into:

- **Closed:** The object of study of this work. It is necessarily intended for employees of companies or groups of sponsoring or instituting companies, whose plans are managed by closed complementary pension entities.
- **Open:** Can be contracted by any natural person through individual plans, or by natural persons linked directly or indirectly to a contracting legal entity through collective plans. Such plans are managed by insurance companies or banks, with liquidity being one of their main benefits due to the ease of resource withdrawal, especially for retirement benefits. Unlike closed pensions, these are regulated by the National Private Insurance Council (CNSP) and overseen by the Superintendency of Private Insurance (Susep) in the administration of these plans.

The characteristics of the private pension system, extracted from the legal definition contained in Article 202 of the Federal Constitution, are:

- **Complementary nature:** Private pensions act parallel to the official pension system exercised by the State, without, however, replacing it.
- **Organized autonomously in relation to the general social security regime:** Private pensions do not depend on the general social security regime, from which they are administered, organized, and managed separately.
- **Voluntary:** In private pensions, the participant is not obliged to join or affiliate, and its revenues are collected in the form of voluntary contributions from natural persons and/or instituting or sponsoring legal entities, whereas the revenues of the social security regime are collected in the form of taxes (pension contributions).
- **Based on the constitution of reserves that guarantee the contracted benefit:** Because programmed benefits are funded under the capitalization regime, complementary pensions are based on the constitution of assets formed by property and rights intended to finance the receipt of future benefits.

During the participant's active phase, they will make scheduled contributions, resulting in the accumulation, through contributions and capitalization, of the resources guaranteeing their future commitments. If the fund is sponsored, the sponsor must

contribute a value proportional to that of the participant. This proportion must be defined in the regulations and cannot exceed 100% for public companies or mixed-capital companies controlled by the government.

2.2.1 Actuarial Valuations of Benefit Plans

The actuarial liabilities and costs of EFPC benefit plans are measured through actuarial valuation, as is the cost of eventual changes in plan regulations and/or actuarial assumptions. The main documents issued by the actuary as a result of the actuarial valuation process of an EFPC benefit plan are:

- **Demonstrative of Actuarial Valuation Results (DRAA):** A document presenting the main results of the actuarial valuation.
- **Actuarial Opinion:** A document presenting the technical report prepared by the actuary responsible for the plan. It contains the diagnosis of the plan's financial health, as well as recommendations for its economic-financial balance.
- **Actuarial Technical Note:** A document containing the financial regimes and actuarial methods used in evaluating a benefit plan. This document contains all formulas used in calculating the actuarial liability and plan costs (ASSUNÇÃO; SERNACHE, 2008, p. 12).

2.2.2 Economic and Biometric Assumptions

Actuarial assumptions are biometric and economic hypotheses or premises used by the actuary to prepare the actuarial valuation of a benefit plan. They must bear a relationship to the demographic and economic reality of the participant population, and the actuary responsible for the plan must constantly perform adherence tests of these assumptions against the values that actually occurred.

2.2.1.1 Biometric Assumptions

These estimate future behaviors regarding demography, separation from the sponsor, among others. The main biometric assumptions are:

- **Mortality Rate:** Measures the expectation of survival and/or death of a participant or their beneficiary.
- **Disability Entry Rate:** Measures the expectation of disability of an active participant.
- **Turnover Rate:** Measures the expectation of employment termination at the sponsor by an active participant.

- **Retirement:** Measures the expectation of retirement benefit requests by participants who meet the necessary requirements.
- **Disabled Mortality:** Measures the survival expectation of a disabled participant.

The instrument used to measure the survival, death, disability, and turnover rates of a population based on the participant's age and gender is the biometric table.

2.2.2.2 Economic and/or Financial Assumptions

These estimate future behaviors regarding financial asset yields, inflation, and salary growth of active participants, among others. The main economic assumptions are:

- **Actuarial Interest Rate:** The real interest rate predicted for the yield of assets that will meet actuarial obligations. It is established through the actuarial target and aims to ensure a minimum future return on guaranteeing assets without overestimating the capacity to fulfill it, which could cause an imbalance between assets and benefit plan obligations. Due to the large impact caused by this assumption in calculating the mathematical reserve value, and with the objective of establishing a cap for the actuarial interest rate to be adopted that is compatible with the long-term gains achievable in the Brazilian market, CGPC Resolution No. 18, which establishes technical-actuarial parameters for structuring EFPC benefit plans, stipulates a maximum limit of 6% p.a..
- **Salary Growth Rate:** The predicted rate for average annual real salary growth that an active participant will have throughout their career at the company.
- **Benefit Growth Rate:** The predicted rate for average annual real growth of the benefit for a participant receiving income benefits.
- **Real Value Determination Factor over Time:** A factor used to cancel or minimize the loss of purchasing power occurring in salaries or benefits due to estimated inflation and the frequency of adjustments, aiming to obtain a mean and constant value for these incomes, in real terms, during a one-year period.

2.2.3 Solvency of Pension Plans: Deficit, Surplus, and Actuarial Balance

The solvency of a benefit plan indicates that the EFPC presents assets superior to its liabilities. There will be an actuarial deficit when the plan's net assets are insufficient to meet its actuarial liabilities, a surplus when the plan's net assets are superior to the actuarial liabilities, and actuarial balance when the value of the plan's net assets and the actuarial liabilities are equal.

CGPC Resolution No. 26, which disposes on the procedures to be observed by EFPCs in determining results, destinating and utilizing surpluses, and equating deficits of the

benefit plans they manage, treats the actuarial imbalances of benefit plans as follows: When there is a surplus result in the benefit plan, it will be destined for the constitution of a contingency reserve and, after the limit of 25% of the value of mathematical reserves, for the constitution of a special reserve for the revision of the benefit plan. If the assumptions are already within the threshold delimited by the resolution, the Deliberative Council of the EFPC may opt for reducing contributions, improving benefits, or reversing values to participants, beneficiaries, and the sponsor. The legislation aims to adapt the pension fund benefit plans to the impacts of population aging and the reduction of the basic interest rate, and consequently, application yields, as well as the distribution of the surplus result to all participants in the system.

In the event of a deficit, a revision of the benefit plan must equate the determined deficit result among participants, beneficiaries, and sponsors through additional contributions. The legislation aims to make all system participants responsible for the poor results of the EFPC, which should force greater involvement by them in the entity's governance. In both cases, the state's action purpose is to perform its legal objective of preserving the liquidity, solvency, and balance of benefit plans, individually and as a whole.

The scheduled contributions made during the participant's active phase are defined by the funding plan and calculated according to the adopted economic and biometric assumptions, corresponding to the probability of occurrence and the effects of statistical and/or financial events provided for in the regulations, and have the purpose of composing resources for paying benefits to participants. The divergence of technical reserves from guaranteeing assets during the fiscal year of the actuarial valuation's validity will occur when the assumptions adopted for random events diverge from the events that actually occurred. The legislation permits the use of reinsurance as another way to ensure commitments undertaken with participants and beneficiaries of benefit plans, which, in addition to establishing greater credibility, allows for the dilution of risks assumed by the entities' commitments, decreasing the need to accumulate reserves for this purpose.

2.2.4 Modalities of Benefit Plans

The different modalities of benefit plans enable sponsoring companies to provide a pension benefit to their employees while dosing the risks that their shareholders allow them to share with plan participants. According to the definition in CGPC Resolution No. 16 of November 22, 2005, we have the following modalities:

- **Defined Benefit:** A modality whose programmed benefits have their value or level previously established, generally calculated from the difference between an updated average of salaries and the value of the benefit paid by Social Security, with funding determined actuarially to ensure its granting and maintenance. It is the plan modality that brings the greatest risks to the sponsor, as the retirement benefit value is calculated at the moment of the participant's enrollment in the benefit plan and its payment is guaranteed from then until the participant's death.
- **Defined Contribution:** One whose programmed benefits have their value permanently adjusted to the account balance maintained in favor of the

participant, including during the benefit receipt phase, considering the net result of its application, the amounts contributed, and the benefits paid. It is the plan modality that brings minimal or even non-existent risks to the sponsor, as there are no guarantees of a minimum benefit to be paid, which will depend exclusively on the participant's account balance, who assumes the totality of the risks of receiving the benefit, resembling an investment fund.

- **Variable Contribution:** One whose programmed benefits present a combination of the characteristics of the defined contribution and defined benefit modalities. It is the plan modality that brings intermediate risks to the sponsor, as the retirement benefit value is calculated at the moment of retirement according to the accumulated account balance, and its payment is guaranteed from then until the participant's death. It represents the modality that has grown the most in pension funds due to the reduced risk of the plan compared to the defined benefit modality, while preserving mutualistic characteristics in its benefits.

Closed entities constituted by public or private companies and public entities may offer any of the three benefit modalities, while those constituted by institutors may only offer defined contribution benefits.

2.2.5 Financial Regimes of Benefit Plans

Financial regimes determine how participant contributions will be distributed over time, aiming at the composition of the reserve guaranteeing the payment of pension benefits. They can be defined as follows:

- **Simple Pay-As-You-Go Regime (Repartição Simples):** The contributions collected in a given period by the worker are those necessary for paying the benefits intended for beneficiaries within the same period. Commonly used in public social security of nations, it is known as the cash regime because there is no formation of reserves. Changes in birth rates, longevity, as well as formal employment and the population's salary level imply modifications in pension contribution rates.
- **Pay-As-You-Go of Coverage Capitals (Repartição de Capitais de Cobertura):** The contributions collected each period suffice for the constitution of the reserve necessary for paying benefits initiated in the same period. The funding necessary for paying benefits will depend on the age distribution of active participants in the year.
- **Capitalization Regime:** Provides for the accumulation of resources in a given period aiming at the composition of the amount necessary to sustain one's own pension benefit in the future. Here, pension contribution rates are modified by interest rates, salary growth, and the population's biometric characteristics, such as mortality and disability, among others.

The adequate methodology for its form of capitalization, namely: Unit Credit, Projected Unit Credit, Aggregate, or Financial Capitalization, will be adopted by the actuary in view of the biometric, demographic, financial, and economic characteristics of the participants. According to Assunção and Sernache (2008, p. 20), "The main difference between these methods is the way of calculating the mathematical provision and the normal cost of the benefit plan." CGPC Resolution No. 18 of March 28, 2006 defines which benefits will be admitted for each of the financial regimes.

3 THE IMPORTANCE OF PENSION FUNDS FOR ECONOMIC DEVELOPMENT

We will see in the next items the main economic variables affected by pension funds.

3.1 Pension Funds as Determinants of Productivity and Economic Growth

For Mankiw (2001, p. 535), "...a nation's standard of living, or GDP per capita, is a consequence of its population's productivity". I highlight some of these factors pointed out by the author, as well as my analysis of the influences of pension funds on each of these factors:

- **Physical Capital:** The stock of equipment and structures used to produce goods and services (MANKIW, 2001, p. 536). Given that capital is a produced factor of production, a society can increase the amount of capital at its disposal by increasing investments of current resources into capital production, allowing it to produce larger quantities of all goods and services. Since resources are scarce, allocating more resources to capital production requires allocating fewer resources to the production of current consumption goods and services, sacrificing current society consumption of current income (MANKIW, 2001, p. 539). According to Mankiw (2001, p. 556), "The financial system moves the economy's scarce resources from savers (people who spend less than they earn) to borrowers (people who spend more than they earn)." Savers provide their resources to the financial system with the hope that they will be returned later with interest. Borrowers turn to the financial system knowing that they will have to repay the loan and interest later (MANKIW, 2001, p. 556). Diverse financial institutions help promote the meeting of someone's savings with another person's investment. Pension funds are an important instrument of intermediation between savers (active employees or classist liberal professionals) and investors (the productive sector that demands capital for project financing) and, because they aim mainly at the participant's retirement based on time of service and/or contribution, they enable a stable formation of long-term savings, considering the working lifespan of the worker, which tends to increase as the longevity of the Brazilian population extends.

We find, through the following table, that Brazil is below the main developing economies, as well as below the average of these countries and the world average, particularly the developing economies of Asia, outperforming only some consolidated economies such as the United States and the European Union, and falls far short of the investment the country needs for sustainable and long-term growth.

Table 1 — Comparison of the total investment percentage over GDP by countries

Country	% GDP	Country	% GDP
China	48.57%	Venezuela	20.65%
India	39.20%	France	20.09%
Indonesia	33.45%	Italy	19.86%
Korea	29.13%	Brazil	19.69%
Chile	27.96%	Germany	17.07%
Mexico	26.49%	United States	16.18%
Argentina	24.42%	United Kingdom	15.58%
Russia	23.91%	Developing Asia	42.40%
Turkey	22.70%	Emerging and developing economies	31.39%
Spain	22.32%	Central and Eastern Europe	22.07%
South Africa	21.94%	World average	21.85%
Japan	21.93%	Advanced economies	19.02%
Canada	21.68%	European Union	18.70%

Source: Economy Watch – 2012

Brazil lags behind developed nations in the quantitative volume of pension fund investments relative to GDP, although it is well ahead of the main emerging nations. We perceive how much room there is for growth in this investment modality in Brazil, which will likely help improve the total investment percentage relative to GDP.

Table 2 — Percentage of pension fund investments over GDP

Country	% GDP	Country	% GDP
Netherlands	135.50%	Spain	7.79%
Switzerland	110.70%	Germany	5.46%
United Kingdom	95.87%	Italy	4.86%
Australia	92.84%	Korea	4.45%
Finland	74.99%	Russia	2.14%
United States	70.45%	Indonesia	1.83%

Country	% GDP	Country	% GDP
Canada	63.68%	Turkey	1.10%
Chile	58.63%	France	0.25%
South Africa	49.19%*	India	0.17%
Colombia	17.03%	Argentina	N.A.
Peru	16.92%	China	N.A.
Brazil	13.83%	Japan	N.A.
Mexico	12.94%	Venezuela	N.A.

*Source: OECD – 2011 / *Data from 2010 / N.A.: Not Available*

We notice in these tables that there is little relationship or even an opposite relationship between the percentage of investment in the country over GDP and the percentage of pension fund investments over GDP, and there is divergence in the academic environment regarding the existence of a positive correlation between these two factors.

However, it is considered in this work that economically advanced nations have already reaped the fruits of increased investments provided by pension funds, and emerging nations have the advantage of the catch-up effect, meaning an increase in investments will provide a much larger benefit in these nations than in already developed nations. I also consider as a consequence of the development of pension funds an influence on individuals in their decision to postpone consumption, turning them into savers, which otherwise they would not be.

In addition to encouraging savings and investment, policymakers must promote:

- **Protection of property rights and promotion of political stability:** Allowing the effective use of the economy's production factors through the coordinated functioning of transactions between companies, as well as between them and consumers (MANKIW, 2001, p. 543-544).

Stimulating and reliable institutions are related to the Corporate Governance of productive organizations and the State itself, which influences the quality of the pension system and is influenced by it. Political stability and respect for property rights are requirements of the pension system so that its associates believe in the system and that their assets formed over years of contribution to pension funds will be enjoyed by them and/or their dependents at moments when they need them most due to vulnerability. In this way, pension funds can become an additional pillar in sustaining stimulating and reliable institutions, and in good macroeconomic fundamentals, which are factors that leverage the growth of nations.

- **Human Capital:** Knowledge and skills acquired by workers through education, training, and experience (MANKIW, 2001, p. 536). The human capital of a nation will be positively affected by pension funds for the following reasons:
 - Complementary pension plans, like health plans, are an additional benefit offered by large companies to their employees, aiming to attract new talent and, at the same time, retain qualified professionals. In a globalized economy, the attraction and retention of talent and trained labor by its companies will be a differentiator in a nation's competitiveness.
 - The protection and valuation of the employee demonstrated by the company, through funding supplementary benefits, makes them contribute more effectively to the company's future, increasing their productivity.
 - The professional who is about to retire, knowing they can count on complementary income, will have less resistance to doing so, leaving the path open for their place to be occupied by new talents, as well as having more willingness to pass on their knowledge. As older participants request lifetime income benefits, it allows the release of the older labor force so that younger people can assume their positions, decreasing the unemployment rate among this age group; however, it can cause an exit from the labor market of an experienced and qualified contingent while they are still able to contribute with their labor force.
 - Creation of a financial cushion for employees, allowing companies, in moments of crisis in their sector or in the whole economy, to carry out a downsizing of excess contingent, generally composed of less qualified employees, allowing their qualification and/or reallocation in another area of the economy, permitting the development of people and nations in their true vocations.
 - In cases of unemployment or retirement, the participant can use their income and/or their accumulated savings for their requalification and relocation in the labor market.
 - The administration of the financial assets of pension entities will contribute to the development and refinement of the Brazilian capital market, deepening the professionalization of financial system workers and providing the development of a profitable sector of extreme importance for economic and social development.
- **Natural Resources:** Inputs provided by nature, such as land, rivers, and mineral deposits (Mankiw, 2001, p. 536). This factor has little or nothing to do with pension funds, except for the fact that the extraction of some natural resources requires high allocation of long-term maturation capital, which can be provided by pension funds.

- **Technological Knowledge:** Understanding of the best ways to produce goods and services. It refers to society's understanding regarding the functioning of the world (Mankiw, 2001, p. 537). It requires investments in research and development that also have a long-term maturation period, which can be easily financed by pension funds, provided that profitability requirements are met.

3.2 Pension Funds as a Source of Long-Term Financing and a Tool for Increasing Aggregate Savings and Extending Investment Maturity

Pension funds, because they possess long-term liabilities, can apply their assets in long-maturation projects, helping to promote long-term capital for enterprises that face difficulty in obtaining adequate financing conditions. However, investments originating from pension funds are destined for the capitalization of their assets; thus, they must provide a minimum profitability to their funds, indicated by the actuarial target. For this reason, investments essential to the country, even if of long-term maturation but of low profitability, should not be the focus of these funds and, therefore, should not substitute the role of the State in inducing these investments.

An increase in pension savings will cause a shift to the right in the economy's aggregate savings curve, which will result in a decrease in the interest rate for investment and consumption, as well as a reduction in dependence on external savings. Government campaigns aimed at promoting financial and pension education can clarify to the population the benefits of joining a pension plan and the existing options, helping to increase aggregate savings, which is so lacking in Brazil due to the population's high consumption and high government expenditures.

In Brazil, we still have significant State participation in inducing economic development, which, as Marinho well reports, "...in Brazil, the financial system is predominantly bank credit, with strong participation of public banks (Banco do Brasil, Caixa, and BNDES, state banks)." The Brazilian capital market is poorly developed, not being capable of performing its function of providing long-term resources for the economy. The provision of these resources is still almost totally dependent on public sources, such as applications from BNDES (MARINHO, 2004, p. 65-66).

The opportunity to extend the maturities of debt securities in the economy is also cited by the same author: investment in public securities by pension funds can represent an opportunity for governments to improve the profile of public debt, so as to extend average maturities and reduce the refinancing cost, in addition to being more protected against adverse macroeconomic shocks, while investments in private securities allow extending the maturity of companies' liabilities, or even the financial consolidation of their investments (MARINHO, 2004, p. 85).

4 CORPORATE GOVERNANCE

The concept of Corporate Governance is recent, although it deals with a theme whose concepts and discussions date back to the emergence of joint-stock companies, with the

expression being used for the first time in 1991 by Robert Monks in the United States. The first code of best corporate governance practices — the Cadbury Report — was defined in 1992 in England.

For the Organisation for Economic Co-operation and Development (OECD) (1999 apud ANDRADE, 2009, p. 138-9), Corporate Governance is the system by which business corporations are directed and controlled. The structure of corporate governance specifies the distribution of rights and responsibilities among different participants in the corporation, such as the board of directors, executive directors, shareholders, and other stakeholders, in addition to defining rules and procedures for decision-making regarding corporate matters. It also offers bases through which company objectives are established, defining the means to attain such objectives and the instruments for monitoring performance.

By the definition of the Brazilian Institute of Corporate Governance (IBGC) (2003 apud ANDRADE, 2009, p. 139), Corporate Governance is the system that ensures partner-owners strategic governance of the company and effective monitoring of the executive board. The relationship between ownership and management occurs through the board of directors, independent audit, and the fiscal council, which are fundamental instruments for exercising control. Good Governance ensures partners equity, transparency, accountability for results, and compliance with the country's laws.

In the recent past, in private and family companies, shareholders were managers, blurring ownership and management in their person. With professionalization, privatization, globalization, and the distancing of families, Corporate Governance placed the Board between Ownership and Management.

According to Pena (2010, p. 2), "According to the OECD Pension Group, the objective of governance in pension funds is to minimize potential organizational problems or conflicts of interest that may arise between participants and managers, and adversely affect the safety of reserves and the payment of benefits." Good governance is important as it helps create trust between participants and managers, helping to improve the performance of plans and the pension fund, with low costs. Worldwide, the theme has been gaining prominence, and new laws have emerged with the intent of imposing improvements on corporate governance policies.

The American Sarbanes-Oxley Act of July 2002, important due to the global reach of its effects, was created in response to investor distrust following the financial scandals and accounting frauds discovered at that time, particularly at Enron and WorldCom. Known for its rigor and regulatory scope, the law is an important milestone in the Corporate Governance of American companies and those in the rest of the planet that seek resources or compete in international markets, especially the American one.

In Brazil, the promulgation of Law 6,404/76, known as the Corporation Law (Lei das S.A.), and its reform through Law 10,303/01, had the main objective of strengthening the capital market in Brazil, until then considered highly speculative and subject to manipulation, being an elitist investment option poorly known among the general population. Self-regulation, as occurs in the differentiated corporate governance levels

of the BM&FBovespa, where companies voluntarily commit to adopting corporate governance practices and additional levels of transparency beyond what is required by legislation, has shown to be more efficient in strengthening governance than pure and simple regulation; adhesion is its greatest advertisement for attracting and maintaining investors. However, this form of market correction must be complementary to the regulation and oversight promoted by competent authorities. The 2008 crisis demonstrated that decreasing the state's role in regulation and delegating this task to the market can provoke disturbances and potential economic and financial damages.

4.1 Evolutionary Process of Corporations

I highlight a set of historical transformations that, according to Rossetti, led to the current mold of corporate organizations:

- **Gigantism and power of corporations:** Resulting from technological advances, demographic expansion, transformations in production means and input commercialization, mergers and acquisitions, transnationalization of companies, and evolution of the capital market, among other factors.
- **Dispersion of controlling capital:** When individual or majority investors began to lose shareholding participation in the company to small investors, caused mainly by the constitution of large companies in the form of joint-stock companies, the opening of capital of closed companies, the increase in the number of investors in the capital market, succession processes, merger processes of large companies, and the increase in participation of public and private pension funds and other institutional investors in the equity market, among others.
- **Divorce between ownership and management:** With the separation of ownership and administration, caused by transformations inside the organizations mentioned previously. Thus, the main objectives of holders of shareholding wealth became the enjoyment of a portion of the company's profit, in the form of dividends, and the increase in the company's market value, translated into stock appreciation in the capital market. In case of shareholder disagreement with the announced directions or visible management model, the alternative is selling the shares, replacing them with those of another company with stances, strategies, and operations more aligned with their interests (ROSSETTI, 2009, p. 58-71).

These transformations made organization management more difficult, generating agency problems, since managers were no longer the owners themselves, while at the same time allowing small shareholders and institutional investors to take part in the control and results provided by these organizations.

In Brazil, despite seeing the growing dominance of large-sized organizations—the participation of the 32 largest Brazilian publicly traded companies relative to GDP jumped from 11.7% to 30% between 1998 and 2007; if only the ten largest are considered, the concentration increase relative to GDP was even greater: percentages pass from 6.3% to 20% in the period (BARBIERI, 2008). We still have an enormous concentration of

capital in the hands of few shareholders, often under State or exclusively family management, as well as high activity by foreign investors, as noted in Tables 3 and 4. Although there are diverging studies on the disadvantage of shareholding concentration to the detriment of ownership pulverization, it happens that majority investors will hardly show a willingness to expand corporate governance practices in companies where they hold capital, as this would imply dividing their decision-making power, obliging themselves to account for their acts, among other concessions, which ends up provoking agency conflicts between majority and minority shareholders, because the first group can more easily act according to their own interests to the detriment of the second.

We verify in the table below that, within a sample of 225 Brazilian companies listed on the Bovespa, 203 companies, or 90.22%, have majority shareholders. Within this group, we observe capital concentration with voting power among the largest shareholders. Even among selected companies without majority shareholders, we perceive a concentration of decision-making power in the hands of few shareholders (the five largest shareholders of companies without a majority shareholder possess, on average, 66% of the decision-making power of these companies).

Table 3 — Direct shareholding composition of Brazilian companies in 2000

Shareholder	Companies With Majority Shareholder (203)	Companies Without Majority Shareholder (22)	Total Sample (225)
Capital	Voting / Total	Voting / Total	Voting / Total
Largest	76% / 54%	37% / 23%	72% / 51%
Three Largest	88% / 65%	62% / 41%	85% / 62%
Five Largest	89% / 65%	66% / 44%	87% / 63%

Source: Silva, 2004, p. 353

Note: Average direct shareholding composition of 225 Brazilian companies listed on Bovespa. A company with a majority shareholder is one in which a shareholder owns more than 50% of the voting capital. The number of companies in each group is in parentheses.

The next table shows us how concentrated participation is among four investor groups: Family, Government, Foreign, and Institutional, plus companies without a controlling shareholder. We verify a large concentration of families and foreign investors in the control of large companies, while noting a still modest participation of institutional investors and companies with pulverized capital. Note that the sample was extracted from companies listed on the Bovespa index, thus leaving out companies whose sole controller is the state.

Table 4 — Shareholding participation of the various controlling groups in 2000

Controlling Group	Firms (Number / %)	Direct Participation (Voting / Total)	Indirect Participation (Voting / Total)
Total Sample	225 / 100%	72 / 51	66 / 38
Firms With Controlling Shareholder			
Family	108 / 48%	73 / 46	86 / 31
Government	16 / 7%	75 / 57	77 / 51
Foreign	60 / 27%	79 / 62	74 / 56
Institutional	19 / 8%	80 / 66	84 / 33
Total	203 / 90%	76 / 54	69 / 40
Firms Without Controlling Shareholder	22 / 10%	37 / 23	40 / 24

Source: Silva, 2004, p. 355

Note: Companies possessing a controlling shareholder were classified according to capital origin (foreign, state, family, and institutional) and the shareholding composition of each was analyzed.

However, some factors provoke pressures for the same transformation process that led to control pulverization and strengthening of governance structures in developed countries to occur here, such as privatizations, internationalization of organizations and markets (often as a consequence of mergers and acquisitions of national companies by foreign ones, starting to follow their parent companies' governance standards and/or obey regulations of countries where their headquarters are located), the need to seek resources in large financial centers, challenges imposed by global competition, and an increase in assets under the control of pension funds and other institutional investors, with a more active posture from them. Other factors include an increase in capital market self-regulation, such as corporate governance levels on the Bovespa, improvement of the regulatory environment, greater government pressure through actions of its oversight bodies, and requirements from its development support agents, such as BNDES, for the application of good governance practices in exchange for obtaining financing, among others.

4.2 Objectives, Main Stakeholders, and Agency Relations in Pension Funds

Unlike a publicly traded company, pension funds are legally non-profit entities. However, they are responsible for the efficient administration of their participants' financial resources so that the benefits to which they are entitled are guaranteed, as well as the maximization of the return on their assets invested in these funds. Yet, beyond

maximizing returns on participant funds, pension funds also accumulate image and reputation gains if they operate with an eye toward environmental and social issues, and if they disregard these issues, they can incur losses and risks.

The definition of Agency Theory constitutes the core for addressing corporate governance. Jensen and Meckling (1976, p. 308), precursors in treating the theme, define an agency relationship as "...a contract under which one or more persons (the principal) engage another person (the agent) to perform some service on their behalf which involves delegating some decision-making authority to the agent." For the authors, if both parties act to maximize their personal utilities, naturally, the agent will not always act in the best interest of the principal. Thus, the theory argues that monitoring systems and incentives must be established to ensure that executive behavior is aligned with shareholder interests, incurring monitoring costs, or agency costs.

Principal (participants, sponsors, and associate members) and Agent (managers, who invest resources originating from their principals' contributions) establish an agency relationship. Managers possess their own interests and will try to maximize them, to the detriment of maximizing participant wealth. Given the difficulty of regulating all managerial acts, CGPC Resolution No. 13/2004 confers upon all who compose the management bodies of a closed complementary pension entity the judgment of convenience and opportunity in their actions and decisions, so that the defense and achievement of objectives provided in the statute are permanently sought. However, reality shows that a fine line exists between regular management acts and those exercised in a disguised way, contradicting rules and governance principles.

Some opportunistic practices are attributable to managers in a Pension Fund, provoking agency problems, such as:

- Exorbitant self-granted benefits;
- Resistance to actions advantageous to participants and/or the sponsor;
- Utilization of managerial judgment for impactful non-consensual decisions;
- Growth of pension fund assets to the detriment of maximizing participant and society interests;
- Investment strategies that destroy pension fund value but reduce Executive Board risks;
- Shareholding participation in companies that are clients or suppliers of those managed by pension fund executives;
- Nepotism and other protection forms conflicting with company interests;
- Asymmetric access to information of the pension fund or companies controlled by them or in which they possess any type of influence;

- Resistance to structured performance evaluations of the Executive Board;
- Earnings management focused on short terms, or others, aiming at political objectives;
- Cancellation of the influence power of Boards of Directors and other internal collegiate bodies;
- Discommitment from guaranteeing resources for the future actuarial commitments of the EFPC;
- Legally or illegally altered earnings statements.

These practices, if perceived by the population and not curbed by competent authorities and other interested agents, can lead to a disincentive in the development and expansion of the complementary pension system.

Other important conflicts can also occur between agents of a pension fund. I highlight among them:

- **Conflict between sponsor and associates and/or beneficiaries:** As mentioned previously, among a company's objectives in implementing a complementary pension plan for its employees are retaining talent, increasing employee productivity, and promoting image gains before the community. However, organizations must always analyze the cost-benefit of creating/maintaining this assistance to employees. Thus, conflicts may arise regarding the funding or destination of deficits or surpluses in benefit plans, occurrences of pension lawsuits by participants, among others.
- **Conflict between participants with more contribution time and/or account balance and participants with less contribution time and/or account balance:** Unlike publicly traded companies, there is no concentration of votes for electing councilors of a pension fund — a participant with an enormous account balance possesses the same vote as a participant who recently joined the benefit plan.
- **Conflict between active participants and beneficiaries:** The only two sources of revenue for pension funds are contributions from participants and sponsors and the investment yield of these participants' reserves. When requesting judicially or extra-judicially benefits without regulatory provision, as well as the inclusion of a beneficiary for whose benefit receipt there was no due provisioning, there will be a compromise in maximizing the yields of other participants' reserves and, ultimately, the future benefit payment of this participant itself, should a deficit occur in the plan as a result of these actions.

The State has fundamental participation in this relationship through adopting efficient regulation, supervision, and oversight of agents, preventing them from acting against principal interests, establishing parameters and attributions, forcing agents to account for performance, and to assume fully the consequences of their acts and omissions. It also determines punishments for boards, executives, managers, auditors, sponsors, committees, and even participants in case of fraudulent information or undue benefit receipt, among others, in proportion to their responsibilities. Articles 63 and 65 of Complementary Law No. 109 establish the Disciplinary Regime of Pension Funds. CMN Resolution 3,792 attributes responsibilities to administrators of pension fund resources. But it is worth noting that, by over-punishing those responsible for pension funds, the State can end up provoking a disincentive for good professionals to assume these posts. Moreover, the legislation itself, through Articles 25 of LC 108 and 41, § 2 of LC 109, does not exempt sponsors and institutors from responsibility for systematic supervision and oversight of the activities of their respective complementary pension entities.

For the good of their interests, besides the sponsor, participants and beneficiaries must adopt and demand the adoption of actions to mitigate agency costs, such as:

- Accompaniment and monitoring of agents;
- Demanding the elaboration, structuring, adaptation, and effective compliance with benefit regulations, statutes, and codes of ethics and conduct;
- Requiring the construction and maintenance of management information systems by pension funds, as well as making this information available to all participants, and even using new technologies like social networks, seeking to foster communication and the relationship between participants and fund managers, among others.

4.3 Structure and Principles of Governance in Pension Funds

The basic internationally accepted principles that guide good corporate governance practices are: transparency, equity, accountability, and corporate responsibility or sustainability. We will see below some applicable legislations and regulations, as well as opinions of renowned authors in the pension field.

Article 35 of Complementary Law No. 109 determines the minimum structure of a pension fund, which is composed of a deliberative council, a fiscal council, and an executive board, which possess their own independent attributions. The referred article also establishes its members, as well as requirements for fulfillment, such as qualifications and integrity, among others. Article 41 of this same law establishes parameters for oversight activity to be exercised by the regulatory body.

Complementary Law No. 108 describes the organizational and governance structure of EFPCs belonging to the Union, States, Federal District, Municipalities, their autarkies, foundations, mixed-capital companies, and other public entities. It establishes a maximum number of six members for the deliberative council and four members for the fiscal council, with a mandate of four years each with stability guarantees, nominated

paritarily between sponsors and participants/beneficiaries through direct election. It also mandates six members for the executive board, whose mandate and composition are established in statutes and defined based on the entity's assets and its number of participants, including beneficiaries.

If the pension fund sponsor is private, there will be more freedom in organizing the pension entity; the number of deliberative and fiscal councilors and respective mandates are matters treated in the entity's statute, and nominating councilors through election is not mandatory. However, as Pagliarini discloses, "Although choosing representatives by direct election is not required according to the text of Complementary Law No. 109, adopting a secret ballot along the lines of Complementary Law No. 108 is recommended so that representation is clothed with legitimacy and the choice process with the necessary transparency." For this, all participants and beneficiaries must have broad access to election rules—rules that must be approved by the Deliberative Council—and must be permanently guided on the importance of participating in benefit plan management. Really, beyond being instructed and guided on relevant financial and pension education themes, it is of great importance that participants, beneficiaries, sponsors, and institutors have a permanent interest in entity management, paying attention to the plans it administers (PAGLIARINI, 2011, p. 13).

Pena reports that it is important for pension funds to seek "A governance structure adequate to its characteristics, such as its size, quantity and modality of benefit plans they manage, quantity and profile of participants, beneficiaries and type of investment management (internal or outsourced) [...] sufficient to ensure reduction of conflicts of interest and mitigation of risks inherent to pension fund operation, seeking reduction of losses and decrease of costs." (PENA, 2010, p. 10) This seeks compliance with CGPC Resolution No. 13, Art. 7, sole paragraph, to "...maintain sufficient structure to administer its benefit plans, avoiding waste of any nature or practicing incompatible costs."

CGPC Resolution No. 13 establishes the adoption of principles, rules, and governance practices, management, and internal controls to be observed by EFPCs. It disposes on procedures to be observed by closed complementary pension entities in disclosing information to participants and beneficiaries of pension benefit plans they manage, as well as recommends instituting a code of ethics and conduct, among others. CGPC Resolution No. 28 establishes accounting procedures for closed complementary pension entities, aiming to ensure transparency in managing the benefit plans administered by these entities, as well as the continuous need to obtain information with security and precision. The norms established in this resolution were developed in convergence with international accounting practices, an event that brings improvement to fund transparency.

Participant activism can become an additional source of governance as these participants, many well-qualified and seeking detailed information about plan administration, participate in decisions and identify in advance issues that management and boards fail to see. Pena suggests that "...the quality of information transmitted by EFPCs is a relevant factor in the transparency guarantee process. The amplitude, type, and depth of information must be analyzed according to the financial and pension education level of plan members and measured, preferably, with locally conducted research." (PENA, 2010, p. 4) The author also suggests that it is important that pension

education stimulates active participants and beneficiaries to be part of their funds' governance structure, allowing them to position themselves actively in the main decisions related to the future of their plan and their pension entity (PENA, 2010, p. 9). In August 2010, Previc, with the purpose of guiding directors, participants, beneficiaries, sponsors, institutors, and Previc's own servants regarding pension fund management, launched the *Previc Guide to Best Practices in Pension Funds*.

4.3.1 The Role of Deliberative Council Committees

For the proper execution of their activities, deliberative councilors must participate — with the possible presence of guests or specialists to assist in analyzing more complex issues when provided for in the Internal Regulation — in key committees, such as investment, benefits, audit, governance, and executive compensation committees, having the role of recommendation to the Council, and not of voting deliberation. Allocating a group of councilors to matters demanding a more complex analysis will bring greater celeridade to the whole. For evaluating more specific matters, commissions can be formed instead of committees, with dates for starting and finishing the works. Below, some examples of important activities in an EFPC will be discussed where forming key committees is recommended.

4.3.1.1 Study of Council and Executive Board Compensation

A compensation committee can be constituted to carry out evaluations of councilor and executive board compensation. Overly high compensations or bonuses can provoke agency conflicts; however, they must be in line with the market to attract talented professionals. Due to the need to meet a minimum yield rate over a long period in an uncertain environment, including a variable portion linked to job performance can be of great importance, taking into account investment results, short- and long-term expense containment, and risk control efficiency, among others.

The responsibility imposed on managing the funds of thousands of the entity's workers requires rigorous qualification of the EFPC's technical body, as well as outsourced parties providing services to the entity. Councilors, legally, must bring together a diversity of knowledge and experience among their members so as to avoid concentration in a single area due to the complexity and diversity of tasks performed within the entity. Economic dynamics require constant adaptation of board skills according to entity needs to meet future EFPC requirements, considering changes in the entity and the external environment. The governance committee plays a preponderant role in supporting boards in view of these adjustments.

4.3.1.2 Elaboration of the Investment Policy and Liability Management of the EFPC

The assets guaranteeing technical reserves, funds, and provisions destined for benefit plans administered by EFPCs are managed under the guidance and direction of a set of rules and guidelines, constituted by the entity's investment policy. It must be prepared annually by the executive board, approved by the deliberative council, and broadly disclosed to all participants, who are also informed of all costs with asset administration

and investment policy monitoring, with eventual divergences between predicted and realized results being justified.

One way for the pension fund to show transparency to its participants while pursuing a performance target for its investments is utilizing Benchmarks, representing a good comparison that participants can use as a parameter for electing their representatives, and the deliberative council can use in maintaining or appointing a new executive board. Choosing or opting for a benchmark for a given segment must always be well justified, keeping in view the pursuit and/or outperformance of the actuarial target. With the objective of assessing the executive board and deliberative council on defining and monitoring investment policy and evaluating managers, creating investment committees is common among EFPCs possessing in-house resource management.

A benefits committee can be created with the purpose of assessing the Deliberative Council in the process of managing liabilities and regulatory provisions of benefit plans. In November 2011, Previc published the *Guide to Best Practices in Investments*, aiming to stimulate the economic-financial and actuarial safety of Plans and the EFPC through a broad reflection on liquidity, solvency, and pension balance.

4.3.1.3 Self-Evaluation of Governance Structures

Governance structures must not be an end in themselves; they must periodically analyze their own efficacy, as well as evaluate how much they are contributing to organizational performance. Charan suggests that conducting periodic evaluations of councilors and the executive board is a good tool to continually improve their capacity to govern effectively, which should maximize performance and reduce agency conflicts (CHARAN, 2010, p. 148). It is important for boards to frequently evaluate their performance because, as Charan (2010, p. 147) notes, "...when boards fail to take their results into consideration, they can easily convince themselves and others that they are committed when, in fact, the essence of their governance is weak."

The governance committee must conduct these evaluations, ensuring participation of everyone involved in the governance structure, so that the evaluation is robust and the board translates conclusions into specific action plans (CHARAN, 2010, p. 120). The board must not, however, limit itself to this performance instrument, and should make use of other tools to guide the entity along the path of good governance. The results of these evaluations will also be useful to participants for electing their representatives to the councils.

An important contribution to governance in EFPCs would be implementing external evaluations on adopting Governance practices in these entities through a leveling system done by an independent body representing a technical opinion, as occurs in the differentiated Corporate Governance levels of the BM&FBovespa. Due to the unique characteristics of pension funds, it would not be possible for the participant to opt for the one possessing a higher level of governance, since their participation is linked to the entity sponsored by the employer company. However, it will be an additional benchmark that can influence the participant when electing their councilors.

4.3.4 Some Challenges of Pension Funds in Brazil

Some factors related to Brazilian pension funds, however, can harm their role in promoting corporate governance:

- **Great power of pension funds whose sponsors are state-owned companies:** This confers upon their ultimate investor, the Federal Government, vast power over publicly traded corporations, leaving these funds at the mercy of many political interests and compromising the exercise of control functions, because it ends up accumulating the roles of service provider and overseer.
- **High concentration of some pension funds regarding investment portfolio sizes:** This affects the impact of their movements on the market value of listed companies, as well as their influence over practiced corporate governance standards, conferring high market influence power upon larger pension funds. Considering only the three largest pension funds operating in the country by asset volume, we verify that their sponsors are state-owned companies and observe a total investment of R\$ 270.6 million, dominating just under half of the investment participation of all pension funds in the economy.
- **Actuarial target maintained by pension funds at high levels:** At the same time, a downward trend in interest rates occurs in the country, allied with an increase in population longevity, which can increase risks incurred by these entities in seeking fulfillment of the actuarial target, compromising asset management of these funds, and, ultimately, fulfillment of the pension contract.

4.4 Risk Management and Internal Controls in EFPCs

As pointed out previously, entities must provide a minimum profitability to their investments, indicated by the actuarial target, as well as safety in benefit receipt by participants and their dependents. Fulfilling this target requires obtaining returns in a risky environment. Thus, the responsibility of pension funds increases in identifying, measuring, and controlling risks.

CGPC Resolution No. 13 requires the entity to adopt management and internal controls adequate for the size, complexity, and risks inherent to the benefit plans they operate, so as to ensure full fulfillment of their objectives. Risks must be continually identified, evaluated, controlled, and monitored, provisioning probable losses and continually reevaluating and improving internal controls. The fiscal council must issue internal control reports at least semi-annually with the conclusions of examinations performed by it during the period, as well as verify whether EFPC executive members are preparing studies and follow-ups seeking risk mitigation. Recommendations regarding eventual deficiencies and analysis of statements from those responsible for corresponding areas regarding deficiencies found in previous verifications must be brought in a timely manner to the deliberative council's attention, which will decide on provisions that eventually must be adopted.

The Deliberative Council, as the ultimate body of the governance structure, is the one that must give the final word on risk prevention and control. Thus, creating a risk committee will assist this council in investigating more deeply potential risk sources, as well as performing necessary preventions and controls. Diverse types of risks can occur within the scope of EFPCs. Pagliarini (2010) highlights the most frequent ones, as well as actions necessary for their mitigation:

- **Counterparty Risk:** Arises from problems affecting related parties (third parties and the plan's sponsoring company); minimized by adopting measures that can measure long-term relationships and operations.
- **Market Risk:** Arises from variations in rates and prices; minimized by adopting provisions aiming to obtain profitability in scenarios of falling interest rates, for example.
- **Operational Risk:** Arises from internal or external failures resulting from people or systems; minimized by hiring qualified personnel with technical and managerial competence across all entity administration levels, and adopting modern, adequate technology (equipment and systems) compatible with entity costs.
- **Liquidity Risk:** Arises from the incidence of other risks preventing honoring contracted liabilities; minimized by adopting controls that care for liquidity without compromising investment profitability.
- **Strategic Risk:** Arises from scenario evaluation errors that inviabilize the benefit plan operated by the entity; minimized by instituting benefit plans adequate for the participant mass.
- **Actuarial Risk:** Arises from adopting inadequate or outdated assumptions or methodologies; minimized by maintaining participant mass registers and databases updated, as well as hiring experienced technicians so that plan funding is adequate and attractive.
- **Legal Risk:** Arises from non-observance of norms and regulations, or legal adventures exposed to Judiciary appreciation; minimized by creating systemic control where the "Brazilian way" (*jeitinho brasileiro*) cannot become a comparative advantage.
- **Image Risk:** Arises from negative publicity or information; minimized by adopting transparency norms in entity and plan management. (PAGLIARINI, 2011, p. 31-32) .

In addition to the cited risks, the requirement to fulfill short-term profitability can force the EFPC into a mismatch risk of plan revenues and expenses. An excellent investment policy and profitability are not sufficient if there is no reasonable control of its revenues and expenses, as well as investment maturity periods — many investments, if carried

out prematurely when possible, can compromise their profitability. A good AL&M policy will be necessary to mitigate this risk.

CMN Resolution 3,792 seeks to induce EFPCs into controlling their credit and market risks through portfolio diversification requirements and imposing maximum limits for application in certain assets according to risk classification analysis. Furthermore, for applications in companies that have adhered to good corporate governance standards defined by Bovespa, limits are more flexible. Operations with derivatives, such as hedge instruments, are useful to reduce asset volatility, mitigating market risks; however, they are only permitted when there is a guarantee for the asset being traded, and provided there is prior existence of control procedures and risk evaluation for these operations. Moreover, accurate knowledge by the executive board and councils regarding practiced operation modalities, their intended benefits, and their risks must exist.

Good corporate governance involves a rigorous policy of identifying, preventing, and controlling risks, estimating the probability of occurrence and prevention cost, as well as the potential damage of each risk. Finance science and statistics possess instruments for estimating these values, obtaining essential information to ground financial and strategic decision-making of pension funds, such as correct allocation and asset diversification, and utilizing adequate hedge instruments. However, a rigorous risk control system is not enough. Managers must show loyalty in serving Pension Fund interests, independently of who appointed or elected them to the entity's collegiate body. Pagliarini (2011, p. 21-22) adds that "...diligence and prudence are intimately linked to the risk supervision and monitoring process, meaning that the director must act in good faith (a principle adopted by the Civil Code for any type of business), using efficient protection mechanisms to achieve the entity's objective."

Tolerance for errors, inconsistent reports or information, and control failures violate the duty of diligence. Likewise, making decisions on important and complex matters — such as approving actuarial assumptions, investment programs, budgets — based on incomplete data or information characterizes a lack of the same duty of diligence, i.e., characterizes manager negligence. And negligence in administering long-term savings for third parties is the announcement of future disasters and damages (PAGLIARINI, 2011, p. 21-22). To complement this reflection, I add a consideration made by Ricardo Pena: "Perfect understanding by directors and managers of their attributions and responsibilities in defending participant interests, and consequently, benefit plans, is fundamental to ensure entity transparency. It falls upon them to act with good faith, loyalty, and diligence, observing principles of safety, profitability, solvency, and liquidity." (ABRAPP, 2010, p. 3-4) .

4.5 The Influence of Pension Funds in Promoting Corporate Governance

As seen in item 3.1, pulverization and depersonalization of ownership control made organization management more difficult. Surveys point out low attendance of small investors at shareholder assemblies, resulting from weak interest of these investors in conducting companies where they hold investments, besides high costs implied in analyzing and monitoring their management, which are hardly supported by this type of investor. The passive posture of this small investor is verified in the way they demonstrate

dissatisfaction in conducting a given company: one sells the stock of this company and buys that of another possessing higher alignment with their management vision and interests.

Thus, the need for efficient control means for new organizations arose so that shareholder interests, especially minority ones, were preserved. This space was occupied by institutional investors, especially pension funds, which end up leading actions in favor of better corporate governance practices as a result of the very need to monitor investments made in those companies as a means to achieve participant interests. Accountability to its participants on how they are executing their shareholding participation responsibilities gives more trust to the system, and enables better oversight by them.

Activist Robert Monks, who worked in the labor department of the American government in 1984 and 1985 in charge of caring for pension funds, was dissatisfied with shareholder passivity and opportunistic practices of corporation executives in the United States, defending effective participation of pension funds as a way to counter non-shareholder executive power. In a lecture excerpt regarding the importance of institutional investors' role in refining corporate governance practices in the US, titled *The Institutional Shareholder as Corporate Citizen*, Robert Monks (1984 apud ROSENBERG, 2000, p. 123-124) discloses that:

When institutional investors do not vote, or vote without paying much attention to the implications of their vote on, ultimately, the value of their holdings itself, they are harming not only themselves but also the beneficiaries of the funds for which they are fiduciary agents. [...] It is not always practical to tacitly support management or just stand aside and then sell holdings when one does not approve of how management conducts the company. [...] Even if everyone wanted to divest from a mismanaged company, everyone could not do so at the same time — and also the impact on price would be too large. Thus, whether they want to or not, it seems to me that, as a practical matter, institutional investors need to transform themselves increasingly into active owner-shareholders, being less and less passive investors, [...], and into good corporate citizens, not only analyzing and voting, but, whenever necessary, proposing items of vital interest for voting.

In Brazil, only recently did pension funds start acting directly in company governance. In the beginning, these applied their resources in minority positions formed by preferred shares. From the 1990s onward, however, this situation began to change due mainly to the intense privatization process of state-owned companies and government incentives for pension fund participation in consortia formed for acquiring these companies. In this sense, Resolution CGPC No. 13 suggests adopting a corporate governance manual defining relationships between EFPC statutory bodies with participants, beneficiaries, sponsors, institutors, product and service suppliers, authorities, and other interested parties.

In 2004, the *PREVI Code of Best Corporate Governance Practices* was edited, instituting guidance policies for its representatives on boards of directors and fiscal councils of companies in which it participates. This was an important milestone for promoting governance in companies related to pension funds. In 2006, FUNCEF launched its *Corporate Governance Manual*, which serves as support within the scope of societal relationships for the Foundation's relevant participations. The document brings guidelines to be followed both by board and fiscal councilors of companies, and by their executive committees, investment funds, and respective assemblies, besides the Foundation's own technical team. By promoting governance in companies invested in by these funds, these companies end up accumulating gains with stock appreciation in the market, as well as increasing their longevity, keeping in view the reduction and control of their risks.

4.6 Social Responsibility of Pension Funds

The social security regime presents, besides a high financial cost, a limited character in income distribution among the population. Its benefits tend to be concentrated in a few organized groups that manage to obtain advantages in retirements to the detriment of the rest of the population covered by the regime. The private pension system brings quality of life to covered workers, who start possessing a future income perspective proportional to their contribution effort, income coverage for disability reasons, and asset reserves in case of unemployment, as well as loan possibilities at attractive rates to participants having the participant's own mathematical reserve as a guarantee, among other benefits.

Pension funds are also responsible for generating directly and indirectly thousands of jobs through corporate participations and direct and indirect investments throughout the economy. They also influence resource use, environment quality, working conditions, and distributive justice standards through supporting, via investments and participations, companies adopting these practices. We see an increase in citizen consciousness regarding their participation in transforming a more just and equal society; for example, we have consumers who are more demanding regarding the ethical dimension of products. In this way, pension funds can be a powerful instrument for governments and society in inducing social responsibility in organizations in which they invest, with criteria such as the number of jobs generated in favorable working conditions with access to social protection and the impact on poverty and income levels forming part of the daily routine of these funds' investment decisions.

5 CONCLUSION

Throughout this work, the objective was to demonstrate the importance of pension funds which, by fulfilling their role of social protection of workers in the post-productive phase and in eventualities that can occur during their functional life (withdrawing them temporarily from work), can assist essentially in developing the corporate governance of publicly traded companies. This promotes an increase in transparency and oversight over them, permitting greater ease in pricing their assets and decreasing their risks and resource raising costs for conducting investments. At the same time, it represents a stable source of long-term savings, providing special financing conditions to companies and allowing them to become more competitive and technologically advanced,

encouraging and strengthening capital market development and, consequently, expansion of the economy as a whole, besides assisting in promoting a more equal society where a more just distribution of organizational results exists for the whole society, permitting greater social stability.

We discussed that the practical experience of renowned authors shows that for these entities, as well as other organizations, to fulfill their role in society well, applying an active governance policy in these funds is necessary. This includes active and qualified councils that constantly evaluate the efficacy of their activities, as well as the entire governance structure, active participants in overseeing administration and councils in directing their pension fund's paths, plus clear and efficient legislation and regulation.

We sought to present a didactic work, exposing to the reader concepts of themes treated in this work and seeking, whenever possible, to relate the matter to pertinent legislation. For preparing this work, a vast bibliography of high quality was consulted, reported on the following pages, such as reference books in governance, pension, and macroeconomics areas, booklets from public bodies destined for pension fund participants and directors, articles published in magazines, undergraduate and master's monograph works, and presentations in lectures and conferences, among others.

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GLOSSARY

- **Share (Ação):** Negotiable security representing the smallest portion into which the capital of a joint-stock company is divided.
- **Minority Shareholders (Acionistas minoritários):** Owners of company shares whose shareholding participation does not allow them to participate in company control.
- **Common Shares (Ações ordinárias):** Confer upon their holder voting rights in the decision-making instances of the corporation, in addition to the right to participate in company results.
- **Preferred Shares (Ações preferenciais):** Confer upon their holder certain advantages of a financial or political nature in exchange for partial or total restrictions on the exercise of voting rights.
- **Beneficiary / Assisted (Assistido):** Participant, or their beneficiary, in enjoyment of a continuous provision benefit from a private pension entity.
- **Net Assets (Ativo Líquido):** Corresponds to all assets and rights of an EFPC net of the non-actuarial liabilities of this entity.
- **Guaranteeing Assets (Ativos Garantidores):** See Net Assets of the EFPC.
- **Actuarial Science (Atuária):** Area of knowledge analyzing financial and economic risks and expectations, mainly in insurance and pension administration.
- **Actuary (Atuário):** Professional qualified to calculate event probabilities, evaluate risks, and fix premiums, indemnities, benefits, and provisions.

- **Benchmark:** A parameter or measure by which the performance of an asset, mutual fund, or asset manager can be evaluated. Generally, broad market indices or segments like stocks or fixed income are used for this purpose.
- **Programmed Benefit (Benefício programado):** Scheduled benefit of a pension nature where its start date is predictable, according to conditions established in the regulations.
- **Benefit (Benefício):** Cash payment made by the entity to the participant or beneficiary in counterposition to contributions made for plan funding.
- **Risk Benefits (Benefícios de risco):** Benefits whose granting depends on the occurrence of unpredictable events, such as death and disability, like lump-sum death benefits (*pecúlio*), death pension to spouse and children, and disability income.
- **Mixed Capital (Capital Misto):** Company having part of its shares owned by the State (more than half of voting shares) and part owned by private individuals.
- **Capital:** The sum of all resources, assets, and values mobilized for constituting a company.
- **Capitalization (Capitalização):** Expansion of assets through reinvestment of an application's results.
- **Code of Conduct (Código de conduta):** Manual prepared by the Executive Board in accordance with principles and policies defined by the Deliberative Council, aiming to guide directors and employees in their daily professional conduct.
- **Securities and Exchange Commission (Comissão de Valores Mobiliários - CVM):** Federal body that disciplines and oversees the securities market.
- **Publicly Traded Company (Companhia de capital aberto):** Company having its shares registered with the Securities and Exchange Commission (CVM) and distributed among a certain number of shareholders, which can be traded on exchanges or over-the-counter markets.
- **Deliberative Council (Conselho Deliberativo):** Highest body of the EFPC organizational structure, responsible for defining the general administration policy of the entity and its benefit plans, as well as defining the resource investment policy.

- **Fiscal Council (Conselho Fiscal):** The internal control body of the entity, responsible for oversight activity not only of accounts, but of procedures and deliberations of the executive board and deliberative council.
- **Pension Contract (Contrato Previdenciário):** The protection instrument in favor of certainty and effective protection of the fundamental rights of participants and beneficiaries toward their EFPC, through the Plan Enrollment Form defined according to regulations and statutes.
- **Shareholding Control (Controle acionário):** Possession, by a shareholder or group of shareholders, of the largest portion of voting shares of a company, ensuring decision-making power over it.
- **Normal Cost (Custo Normal):** The present value of the benefit to be accumulated for each active participant during the year following the actuarial valuation.
- **Supplementary Cost (Custo Suplementar):** Contribution destined to complement the normal cost, applied with the objective of remedying a pension deficit situation.
- **Derivatives (Derivativos):** Securities whose values and trading characteristics are linked to assets serving as their reference.
- **Executive Board (Diretoria Executiva):** The body responsible for the financial and asset administration of the entity and the benefit plans it operates, in conformity with policies outlined by the Deliberative Council.
- **Dividend (Dividendo):** Value distributed to shareholders in cash in proportion to the quantity of shares owned, normally being the result of profits obtained by a company in the current fiscal year or past years.
- **Financial and Pension Education (Educação Financeira e Previdenciária):** Process through which individuals improve their understanding regarding concepts of financial and pension products and services, and seek information from reliable consultation sources to make higher quality choices throughout their life.
- **Catch-up Effect (Efeito de alcance):** Property by which countries starting from a poor threshold grow more rapidly than countries starting from a rich threshold.
- **Statute (Estatuto):** Treats basic organization rules of the entity, such as the functioning of the Deliberative Council, Executive Board, and Fiscal Council, among others.

- **Fiduciaries (Fiduciários):** Agents whose responsibility is ensuring fulfillment of the Pension Contract undertaken between the entity, its participants, and beneficiaries, regarding rights and duties, respecting legal obligations in force, as well as management norms and instruments.
- **Symmetric Information (Informação simétrica):** Occurs when all parties to a financial contract possess the same relevant information.
- **Institutor (Instituidor):** Legal entity of a professional, classist, or sectoral character that institutes a benefit plan of a pension nature. Figure created from Complementary Law 109 with the intent of democratizing pensions, permitting enrollment of liberal professionals. It does not possess the figure of a sponsoring company, creating a direct legal relationship only with its participants.
- **Disability (Invalidez):** Incapacity of the insured person for work, resulting from illness or injury, and insusceptible to rehabilitation for exercising an activity guaranteeing subsistence.
- **Institutional Investors (Investidores institucionais):** Financial or state institutions acting in applying third-party savings, specifically in the capital market, and possessing a large volume of resources. They are inducers of the growth and dynamism necessary for achieving the constitutional objective of promoting social justice. Included in this category are mutual stock investment funds, capitalization funds, insurance companies, and open and closed private pension entities, among others.
- **Investment (Investimento):** Employment of savings in productive activity, aiming at medium- or long-term gains.
- **Liquidity (Liquidez):** The existence of resources available for paying benefits promised by the plan.
- **Capital Market (Mercado de capitais):** Set of transfer operations of financial resources of medium, long, or indefinite terms, carried out between saving and investing agents through financial intermediaries.
- **Actuarial Target (Meta atuarial):** The minimum profitability, fixed in the plan regulations, for financial applications of pension plans to meet their future commitments. Generally, it is composed of the actuarial interest rate plus an inflation index.
- **Mutualism (Mutualismo):** Formation of a group of people exposed to the same risks, constituting a financial reserve to support the risk of an unforeseen event affecting one or more members of this group.

- **Participant (Participante):** The natural person linked to sponsors or institutors who joins the benefit plan of a private pension entity.
- **Sponsor (Patrocinador):** Company or group of companies under private law and public law entities offering their employees or servants a benefit plan of a pension nature operated by a non-profit EFPC.
- **GDP (PIB):** Monetary value of all products and services produced in a given region during a given period of time. It is an indicator of a region's economic activity.
- **GDP per capita (PIB per capita):** A region's GDP divided by the number of inhabitants of that region. It is an indicator measuring a country's economic development degree.
- **Benefit Plan (Plano de benefícios):** Set of benefits offered by the pension fund. The main benefits commonly offered consist of risk benefits and income benefits. Risk benefits consist of pension and disability benefits, and income benefits consist of retirement by contribution, age, and special retirement, early and deferred benefits, and lump-sum death benefits (*pecúlio*).
- **Funding Plan (Plano de custeio):** Consists of calculating the contribution value of each participant in relation to total benefits for the defined benefit modality, and in relation to risk benefits for the variable contribution modality.
- **Economically Active Population (População Economicamente Ativa):** Portion of the population participating in the labor market, employed or looking for employment.
- **Complementary Pension (Previdência Complementar):** See Private Pension.
- **Private Pension (Previdência Privada):** A type of insurance contracted to guarantee an income to the contractor or their beneficiary.
- **Productivity (Produtividade):** Quantity of goods and services produced by a worker in each hour of work.
- **Financial Regime (Regime financeiro):** Form of financing necessary contributions over time for covering benefits assured by the benefit plan — actuarial cost. The actuarial cost is not altered, but rather the way to finance it.
- **Internal Regulation (Regimento Interno):** Set of norms and rules explicating responsibilities, attributions, functioning, work routines, and interaction between company governance bodies.

- **Regulations (Regulamento):** A contract of the pension plan where general conditions of the benefit plan appear, disciplining rights and obligations of contracting parties.
- **Mathematical Reserve (Reserva Matemática):** Consists of the difference between the present value of future commitments assumed by the EFPC for paying benefits to participants and the present value of future contributions predicted for covering those commitments.
- **Reinsurance (Resseguro):** Contract in which the insurer transfers to another party all or part of the assumed risk.
- **Joint-Stock Company / Corporation (Sociedade anônima):** Company having capital divided into shares, with its shareholders' liability limited proportionally to the issue value of subscribed or acquired shares.
- **Solvency (Solvência):** Capacity of the EFPC to honor its obligations in the long term.
- **Stakeholders:** All parties interested directly or indirectly in the organization's paths. They are: employees, clients, suppliers, creditors, governments, and shareholders, among others.
- **Real Interest Rate (Taxa de juros real):** Interest rate taking into account inflation/deflation effects on prices, identifying the effective yield practiced by the rate.
- **Interest Rate (Taxa de juros):** The value of money over time, i.e., proportional financial value by which one accepts to abdicate current consumption for higher consumption in the future. In economics, it is defined as the point balancing supply and demand of loanable funds, representing an adjustment variable between savings, investment, and consumption.
- **Pension Fund (Fundos de Pensão):** Although its meaning is insufficient to designate Closed Complementary Pension Entities (EFPC), as it refers only to the assets administered by these entities, the use of these terms as synonyms was influenced by the American denomination given to these organizations. However, I decided to use the terms as synonyms in this work, as already consolidated by the market.
- **Special Reserve for Benefit Plan Revision (Reserva especial para a revisão do plano de benefícios):** Aims at re-adapting the plan to re-establish its economic-financial and actuarial balance, utilizing biometric tables and more conservative real interest rates, plus other assumptions considered necessary in the valuation of the EFPC itself and the actuary responsible for the plan.

- **Differentiated Corporate Governance Levels (Níveis diferenciados de Governança Corporativa):** In December 2000, the Exchange launched special listing segments for companies — BOVESPA MAIS, Novo Mercado, Level 1, and Level 2, developed with the objective of providing a trading environment that simultaneously stimulated investor interest and company valuation.
- **Transparency (Transparência):** Principle assured to participants and beneficiaries by Art. 3, paragraph IV of Complementary Law No. 109 of 2001. It is understood in this work as good communication and passing on of information, which should not be restricted to participants and beneficiaries but contemplate all directly and indirectly interested parties, nor to financial and economic aspects, including other dimensions like strategy and planning.
- **Equity (Equidade):** Characterized in this study by equal and fair treatment dispensed by the organization to all stakeholders.
- **Accountability (Prestação de contas):** By this principle, elected agents must account for their performance to those who elected them, responding fully for acts practiced during their mandates' exercise.
- **Corporate Responsibility or Sustainability (Responsabilidade corporativa ou Sustentabilidade):** By this principle, councilors and executives must incorporate environmental and social considerations into company operations and businesses, promoting a broad relationship between the organization and the community in which it acts.
- **Sustainability (Sustentabilidade):** For the Brundtland Commission (World Commission on Environment and Development, 1987, p. 43), consists of development satisfying current generation needs without compromising future generations' capacity to satisfy their own needs.
- **Risks (Riscos):** Understood in this work as the possibility of financial losses provoked by predictable or unpredictable events.
- **Variation of Rates and Prices (Variação de taxas e preços):** Difference between prices of a given security at two considered instances.
- **AL&M:** Acronym for Asset Liability Management, or integrated management of financial assets with actuarial liabilities of benefit plans of closed complementary pension entities. For coordinating the flow of investments and obligations, estimating the distribution of the payment flow of benefits already granted and to be granted in the future must be considered, as well as participant contribution flows, requiring the production of models with economic and actuarial scenarios, taking into account the application of legal and statutory restrictions in resource administration.